

1 C. The committee shall conduct a comprehensive study of
2 alternative methods of taxation to replace local tax revenue from
3 the elimination of ad valorem tax pursuant to the passage of the
4 state question proposed by Enrolled Senate Joint Resolution No. 12
5 of the 1st Session of the 60th Oklahoma Legislature.

6 D. For each alternative method of taxation considered, the
7 committee shall:

8 1. Consider whether political subdivisions that currently
9 impose ad valorem taxes would have the authority to impose the
10 proposed alternative tax;

11 2. Determine the average tax rate for the proposed alternative
12 tax imposed by each type of political subdivision that would be
13 necessary to generate the same amount of tax revenue as the amount
14 of tax revenue lost as a result of the elimination of ad valorem
15 taxes;

16 3. Determine, if appropriate, the effect that broadening the
17 application of the proposed alternative tax at the local level would
18 have on the tax rates identified pursuant to paragraph 2 of this
19 subsection;

20 4. Identify whether tax revenue generated by the alternative
21 method of taxation would require redistribution to offset
22 disparities in available local tax revenue as a result of the
23 elimination of ad valorem taxes and, if so, evaluate the different
24 mechanisms of redistribution available; and

1 5. Identify and examine any other issue required to be
2 addressed to implement the elimination of ad valorem taxes.

3 E. Upon a request of the committee, a state agency or political
4 subdivision of this state shall provide information for and
5 assistance in conducting the study under this section.

6 F. Not later than July 1, 2028, the committee shall prepare and
7 electronically submit to the Legislature a written report containing
8 the results of the study and any recommendations for legislative or
9 other action.

10 G. The committee created pursuant to this act shall be
11 abolished January 1, 2030.

12 SECTION 2. This act shall become effective November 1, 2025.

13 SECTION 3. The provisions of this act shall not become
14 effective as law unless Enrolled Senate Joint Resolution No. 12 of
15 the 1st Session of the 60th Oklahoma Legislature becomes effective
16 as law.

17 COMMITTEE REPORT BY: COMMITTEE ON REVENUE AND TAXATION
18 February 17, 2025 - DO PASS AS AMENDED
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